Case No. 19-8005

United States Bankruptcy Appellate Panel of the Sixth Circuit

Dinsmore & Shohl LLP
Bingham Greenebaum Doll LLP
Fox Rothschild LLP
and Phoenix Management Services, LLC
Appellants,

v.

United Cumberland Bank
Appellee.

On Appeal from the United States Bankruptcy Court for the Western District of Kentucky. Originating Case No. 16-10407, Chapter 11, Hon. Joan A. Lloyd.

APPELLEES' BRIEF

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Corporate Disclosure Statement

Pursuant to 6th Cir. R. 26.1, Appellee United Cumberland Bank states that it is not a subsidiary or affiliate of a publicly owned corporation, and that no publicly owned corporation that is not a party to the appeal has a financial interest in the outcome.

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Statement of the Issues

Are the Appellants Dinsmore & Shohl, LLP; Bingham Greenebaum Doll, LLP; Fox Rothschild, LLP and Phoenix Management Services, LLC entitled post-confirmation to recover unpaid fees pursuant to a Carve-Out in the interim Cash Collateral Orders which were not specifically authorized or reserved in the Order of Confirmation or the Confirmed Plan of Reorganization.

Statement of the Case

The Appellants consist of counsel for the Debtor, Chieftain Steel, LLC, and the attorneys and financial advisors for the creditors committee (hereinafter collectively referred to as ("Professionals".) The Professionals are seeking to recover post-confirmation fees and expenses from the secured creditor although such recovery is not authorized under the Confirmed Plan of Reorganization or in the Order of Confirmation.

Chieftain Steel, LLC ("Chieftain") filed a voluntary petition for relief under Chapter 11 of the United States Bankruptcy Code on May 2, 2016. Subsequently, the Official Committee of Unsecured Creditors (the "Committee") was appointed by the office of the United States Trustee. Chieftain was initially represented by

Constance Grayson, but was replaced by Dinsmore & Shohl, LLP, which was approved as counsel for Chieftain by Order dated August 22, 2016 (Doc #109).

On July 8, 2016, the parties entered into an Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender (Doc #91). This initial Cash Collateral Order did not provide an amount for a Carve-Out. A Second Agreed Order was entered on August 4, 2016 (Doc #101). This Order authorized the Debtor to pay Dinsmore & Shohl, LLP $20,000 per month for fees and pay $20,000 per month for the other Professionals. Its relevant part, the Second Cash Collateral Order provided: "Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out." The Debtor "shall pay the Carve-Out as funds permit without causing an overdraft." (Emphasis Added)

Subsequently, additional Cash Collateral Orders were entered in the Chieftain case, through a Fourth Amended Final Agreed Order entered on April 17, 2017 (Doc #245). None of the subsequent Orders addressed any shortfall in the payment of attorney's fees under the prior Cash Collateral Order nor did the Orders

authorize additional amounts to be paid to the Professionals to address any arrearage.

On April 14, 2017, Chieftain filed a Second Amended Plan of Reorganization (Doc # 249). The Second Amended Plan addressed the payment of Professional fees (¶3.05); the treatment of UCB's secured claim (¶4.02) and reinstated the property of the estate to the Debtor. The Bankruptcy Court confirmed the Second Amended Plan by its Findings of Fact, Conclusions of Law, and Order Under 11 U.S.C. §§ 1129(a) Confirming the Joint Plan of Reorganization dated May 24, 2017 (Doc #266).

After the filing of the Pennyrile's involuntary bankruptcy, the Professionals sent a letter on May 7, 2018 to counsel for United Cumberland Bank ("UCB") demanding payment of over $227,407.48 for professional fees. UCB denied that request. Subsequently on October 5, 2018, the professionals filed a Joint Motion to Compel Turnover and Payment of Carve-Out Held by United Cumberland Bank (Doc #409). After briefing and a hearing, Judge Joan Lloyd denied the Professional's motion by Memorandum-Opinion dated March 13, 2019 (Doc #424). The Bankruptcy Court stated that it "sees nothing in the Second Amended

Plan or the Carve-Out that requires payment of the Professionals' fees directly from UCB's collateral post-confirmation."

Standard of Review

The review of the bankruptcy court Order interpreting is own Orders is for an abuse of discretion. *In re Licking River Mining, LLC*, 911 F.3d 806 (6th Cir. 2018). The bankruptcy court's interpreting of the Cash Collateral Order should be given deference. *Licking River Mining*, 911 F.3d at 810, relying upon *Harper v. The Overnight Comm. (In re Conoco, Inc.)*, 855 F.3d 703, 714 (6th Cir. 2017).

Summary of Argument

Bankruptcy Judge Joan Lloyd, interpreting her own Orders and confirmed Second Amended Plan of Reorganization, did not abuse her discretion in finding that neither the Second Amended Plan or the Carve-Out provisions in the Cash Collateral Orders required payment of the Professionals from UCB's collateral post-confirmation. Despite claims made by the Professionals, the Bankruptcy Court has not created havoc with the normal Chapter 11 fee arrangements or create a "dangerous precedent." The collection of fees from UCB pursuant to the Carve-Out is not the Professionals only opportunity to be paid. The Liquidating Trustee

appointed in the Confirmed Plan should also have funds available to pay administrative expenses.

Argument

UCB recognizes that Carve-Outs are normal provisions in Cash Collateral Orders and are needed to "foster the reorganization process". *In re Evanston Beauty Supply, Inc.*, 136 B.R. 171, 177 (Bankr. N.D. Ill. 1992). Professionals merely seek to enforce rights which do not exist under the plain language of the Cash Collateral Orders or the confirmed Second Amended Plan.

However, unfortunately for the Professionals, the Carve-Out, the Cash Collateral Orders and the Confirmed Plan do not authorize the collection from UCB post-confirmation. The Carve-Out and Plan further do not authorize such action after the initiation of the new involuntary Chapter 7 action.

The Cash Collateral Orders do not obligate UCB to pay the Professional fees.

Each Cash Collateral Order was limited in scope. In Paragraph 3(a) of each Order, the use of Cash Collateral was limited to a specific budget. Each Cash Collateral Order provided that the Carve-Out would not exceed $20,000 per month for Debtors counsel and $20,000 per month for the Committee. It further provided "the Debtor shall pay the Carve-Out as funds permit without causing an overdraft."

The Professionals' interpretation of the Carve-Out negates the various of the provision that the "Debtor shall pay this Carve-Out as find permit." Clearly only the Debtor was obligated to pay the Carve-Out, and only as cash was available. The parties did not want the Professional fees to drive the Debtor into deficit cash position.

Subsequent Cash Collateral Orders did not address or permit the carry forward of any arrears in the payments from the prior budget. Each Cash Collateral Order is silent as to what would occur should the Debtor fail to pay the $20,000 per month agreed to as to the Carve-out. Clearly there is no specific language requiring UCB to make up any such shortfall.

The Plan of Confirmation does not require UCB to pay the Professional fees.

A confirmed plan is legally binding on all parties. 11 U.S.C. § 1141(a). Post-Confirmation, parties are precluded from raising issues they could have raised pre-confirmation. 11 U.S.C. § 1141(b).

As Judge Lloyd properly ruled, nothing in the Confirmed Second Amended Joint Plan of Reorganization "shifted the responsibility for payment of the Carve-Out from the Debtors to UCB." The failure of the Plan to more specifically address payment of the Professionals fee is made problematic by the fact that the Second

Amended Plan provided that Chieftain would merge post-confirmation with Floyd Industries. The Professionals' Carve-Outs were only entered in the Chieftain case. They had no entitlement to a carve-out for fees in the Floyd Industries case.

Conclusion

The Bankruptcy Courts Opinion in Order should be affirmed.

Respectfully submitted,

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August 30, 2019

Certificate of Compliance

This brief of appellee complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because it contains 1,185 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g). It complies with the typeface requirement of Fed. R. Bankr. P. 8015(a)(5) and the type-style requirement of Fed. R. Bankr. P. 8015(a)(6) because it was prepared in a proportionally spaced typeface, Liberation Serif at 14-point, with case names in italics.

Respectfully submitted,

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August 30, 2019

Certificate of Service

I certify that on August 30, 2019 I filed this brief of appellee with the Clerk of the Bankruptcy Appellate Panel of the Sixth Circuit through the court's electronic filing system, which will send notice of the filing to all counsel of record.

Respectfully submitted,

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August 30, 2019